

# Tata AI Legal Intelligence

Executive Compliance & Risk Assessment Report | Job ID: 7cc40bf3-9b75-420a-8eb5-12f859e6f89c

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## Extracted Clauses & Risk Matrix

### #1: Summary

**Risk: MEDIUM**

**Text:** Master Agreement and Administration Agreement response by Tata Consultancy Services Limited (TCS) to Region 14 Education Service Center (ESC) and National Cooperative Purchasing Alliance (NCPA) for RFP # 17-22 (Business Process Solutions and Services). Key details: Effective Date of Signature Form is April 19, 2022. Initial term is 3 years with an option to renew for up to 2 additional 1-year terms. Core obligations: TCS is to provide Business Process Automation (BPA) services and solutions nationwide. Participating public entities will make payments directly to TCS or approved distributors (Net-30 days standard). TCS is obligated to remit quarterly administrative fees to NCPA based on a tiered fee schedule (1% to 2% of sales volume) and submit detailed sales reports quarterly.

**Rationale:** This clause summarizes an agreement where Tata Consultancy Services Limited (TCS) is the service provider. The key risks stem from ongoing financial and compliance obligations, as well as operational complexities: 1. **\*\*Financial Compliance Exposure\*\***: TCS is obligated to remit quarterly administrative fees (1-2% of sales volume) to NCPA based on a tiered schedule. This requires meticulous and accurate tracking of sales volumes and correct application of the fee structure. Any errors in calculation, disputes over sales volume definitions, or delays in payment could lead to financial penalties, interest charges, and reputational damage. 2. **\*\*Reporting Compliance Exposure\*\***: TCS must submit detailed quarterly sales reports. This demands robust internal systems for data collection, aggregation, and timely submission. Inaccurate, incomplete, or delayed reports could constitute a breach of contract, jeopardize the relationship with NCPA, and complicate fee reconciliation. 3. **\*\*Third-Party Risk\*\***: The clause mentions payments being made to TCS or 'approved distributors.' If distributors are utilized, TCS assumes responsibility for their adherence to payment terms and potentially their reporting obligations, introducing a layer of third-party oversight and potential liability should a distributor fail to perform or comply. 4. **\*\*Operational and Performance Risk\*\***: TCS is committing to provide Business Process Automation services nationwide. This broad geographic scope inherently adds complexity regarding varying regional regulations, resource allocation, and ensuring consistent service delivery quality across diverse public entities. While not detailed in this summary, the underlying Master Agreement would contain specific performance obligations, SLAs, and potential liabilities for non-compliance. While the core service delivery and payment terms are standard, the recurring financial and reporting obligations, combined with the potential for third-party involvement and broad operational scope, elevate the risk beyond 'LOW.' These elements require continuous monitoring, robust internal controls, and diligent execution to prevent breaches and financial exposure.

### #2: Missing Expected Clauses

**Risk: HIGH**

**Text:** 1. Limitation of Liability / Consequential Damages Waiver in the Master Agreement: While Annexure 1 (Form of Supplemental Agreement) lists 'Direct Liability Cap and Disclaimer of Indirect Damages' as a mandatory flow-down for individual SAs, the baseline Master Agreement lacks a global liability cap or waiver of indirect/consequential damages protecting TCS at the program level. 2. Data Protection, Cyber Security, and Privacy (e.g., CJIS, HIPAA, FERPA, GDPR) Terms: Despite the scope covering public sector welfare, health, education, and unemployment platforms, there are no robust data security breach notification or confidentiality standard terms in the Master Agreement. 3. Intellectual Property (IP) Ownership and Indemnity: The Master Agreement fails to explicitly allocate pre-existing IP rights and work-product ownership at the baseline level.

**Rationale:** Without a global limitation of liability or data privacy protections in the Master Agreement, TCS is exposed to uncapped liability and catastrophic statutory/reputational risks across all participating public agencies. Relying solely on future Supplemental Agreements to inject these terms is a critical governance risk if a project is initiated without a formal SA.

### #3: Indemnification

**Risk: HIGH**

**Text:** The awarded vendor shall protect, indemnify, and hold harmless Region 14 ESC and its participants, administrators, employees and agents against all claims, damages, losses and expenses arising out of or resulting from the actions of the vendor, vendor employees or vendor subcontractors in the preparation of the solicitation and the later execution of the contract.

**Rationale:** This clause represents an extremely broad, unilateral, and uncapped indemnity obligation. It requires TCS to indemnify the client for 'all claims, damages, losses and expenses' arising out of any actions of TCS, its employees, or subcontractors, without a standard negligence trigger or carve-outs for the client's own negligence or willful misconduct. Because the Master Agreement lacks a Limitation of Liability clause, this indemnity exposure is completely unlimited.

### #4: Governing Law, Jurisdiction & Dispute Resolution

**Risk: MEDIUM**

**Text:** This Agreement shall be governed by, construed, and enforced in accordance with the laws of the State of Texas. Any arbitration or legal proceeding shall proceed in Houston, Texas. Subject to the arbitration provision, the Parties hereby irrevocably and unconditionally consent to the exclusive jurisdiction of the courts of the State of Texas and of the United States of America located in the State of Texas, Harris County for any actions, suits, or proceedings arising out of or relating to the Agreement.

**Rationale:** Exclusive Texas governing law and Harris County venue represent standard requirements for Texas-based public cooperatives but pose an administrative and localized litigation risk for TCS, which is headquartered in New Jersey/New York. Furthermore, this clause refers to an 'arbitration provision' that is not otherwise defined or detailed in the provided text, creating contractual ambiguity.

### #5: Representation and Warranties

**Risk: MEDIUM**

**Text:** We do not feel that the warranty clauses apply to our proposal since we are bidding only services and no products nor construction. We certainly believe in standing behind our work and would be open to further discussions. [And from Tab 1: 'Vendor shall perform services in a good and workmanlike manner and in accordance with industry standards for the service provided.']

**Rationale:** There is a significant conflict and ambiguity between the baseline Master Agreement requirements and TCS's proposal response. While TCS attempts to disclaim the warranty section in Tab 5 because they do not sell physical products, the Master Agreement in Tab 1 contains a binding 'good and workmanlike' services warranty. TCS's informal statement that they 'believe in standing behind our work' is legally ambiguous and fails to establish clear sole-remedy limitations (e.g., re-performance of services within a specified time limit) to replace the product-focused warranties.

## Human Governance & Audit Sign-Offs

| Reviewer Identity | Governance Action |
|-------------------|-------------------|
| tripti@tata.com   | <b>REJECT</b>     |